Revision Date:
08/01/2022

Background:
Fraud exists when a household (HH) member or Authorized Representative (AR) knowingly makes false statements or fails to disclose information for the purpose of obtaining or maintaining CalFresh benefits.

Purpose:
This section details the fraud policy for the CalFresh program. This section is being revised due to sunset review.

Policy:
A fraud referral will be made to the Bureau of Public Assistance Investigation (BPAI) unit when there are allegations/suspicions of fraud, or there is questionable information that cannot be resolved. Applicants will be referred for investigation prior to granting benefits. Recipients will be referred for investigation within 5 working days from the determination a referral was needed. Below is a list of possible fraud indicators:

- Questionable residency
- Suspected duplicate aid
- Questionable HH composition
- Unreported income
- Expenses exceeding income
- Submitted documentation appears to have been altered
- An overissuance (OI) that may have occurred due to failure to report
- Customer's failure to cooperate with providing questionable information
- Situations involving embezzlement, perjury, trafficking, other general program violations
- Fraud allegations received from other government agencies

A referral must not cause a discontinuance or denial unless the findings from an investigation result in a change in eligibility. A referral must not delay the issuance of CalFresh or Expedited Service (ES) benefits.

Note: A fraud referral must not be submitted for allegations of child abuse/neglect, drug/alcohol abuse, nonpayment of housing obligations, or unreported income from illegal sources.

1. Resolving Discrepancies:
Staff must use all available sources, such as the Income Eligibility and Verification System (IEVS), Medi-Cal Eligibility Data Systems (MEDS) and The Work Number (TWN) to explore and resolve any unclear and incomplete information. When unable to clarify a discrepancy, staff must:

- Contact the customer to clarify any questionable information
- Assist the customer with obtaining the requested information
- Assess for circumstances that may prevent the HH from providing necessary information, such as:
  - Physical, emotional, educational barriers
  - Language barriers
  - Experiencing domestic violence issues
  - Not understanding reporting responsibilities and Income Reporting Threshold (IRT)
  - Not being aware of what constitutes fraud

Note: Refer to 63-118 for additional methods of resolving discrepancies.

2. Findings Received:
When it is determined that fraud exists, timely action must be taken to deny, reduce or terminate benefits. Staff will determine the action to take based on the information received from BPAI findings, the customer statements and CalFresh regulations. Negative actions that result in an OI, must be processed in accordance with the CalFresh OI section. For guidance on communication with BPAI and dispositioning a referral go to Eligibility Operations Processing Guide (EOPG) Fraud Referral Family Resource Center Liaison Protocol for Ongoing Eligibility Cases.

3. Fraudulent/Altered Documents:
Documents that appear to be fraudulent or altered, can be referred to BPAI. Prior to making a referral to BPAI, staff must:

- Make attempts to verify the document through:
  - Systematic Alien Verification for Entitlements (SAVE) for documents related to immigration status
  - Immediate needs request for birth certificate
  - Department of Motor Vehicles (DMV) to verify a California driver's license or identification card
- Image an enlarged copy of the document
- Document in the case record the information that was found fraudulent/altered

Note: Fraudulent/altered documents cannot be confiscated and must be returned to HH.

4. Fraud Hotline:
Complaints of public assistance fraud are received via the San Diego County Public Assistance Fraud Hotline and B-Link Complaint Portal, which are both managed by BPAI. Each complaint is evaluated to determine if there is a potential public assistance fraud issue.

5. California Department of Social Services (CDSS) Alerts:
CDSS alerts are received when a HH's Electronic Benefit Transfer (EBT) card was identified as having unusual transactions that were made at a retailer that has since been disqualified due to illegal trafficking. BPAI evaluates the alert and will initiate an investigation if needed. BPAI reports the outcome of the investigation to CDSS.

References:
MPP: 20-001, ACL: 13-89, ACWDL: 05-01-2019

Sunset Date:
This policy will be reviewed for continuance by 08/31/2025.

Approval for Release:

10-22

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